

Annual General Meeting

Company Participants

- Edwin Negron, Chief Financial Officer
- John Fieldly, Chief Executive Officer
- Marcus Sandifer, VP of Business and Legal Affairs, General Counsel and Corporate Secretary
- Unidentified Speaker

Presentation

Marcus Sandifer

Hey, good afternoon. Ladies and gentlemen, I would like to welcome all of you to the 2021 Annual Meeting of Shareholders of Celsius Holdings Inc I am Marcus Sandifer. And I recently joined the company as General Counsel and Vice President of Business and Legal Affairs, also Corporate Secretary. I will be moderating the meeting this afternoon. As you are aware because we are still living through COVID-19, we are conducting the meeting here in person as well as via live stream through our online meeting portal.

At this time, we are calling the meeting to order, we are recording today's proceeding so that we can prepare a complete transcript for our shareholders and employees who are unable to attend the meeting today.

With us today are members of the company's Board of Directors and our director nominees as well as members of Celsius senior management, including John Fieldly, who is our CEO; Edwin Negron-Carballo, the company's Chief Financial Officer.

A copy of today's agenda and the procedures we will follow have been made available to you either in person or via the online portal. Each of you should have registered as you enter the meeting today. If you would like to ask a question during the meeting, please raise your hand and wait to be recognized if you are here in person or if you are attending via our online meeting portal, please click the ask a question box on the left side of your screen. Type in your question and hit submit. We ask that any questions be related to the item that is under discussion at that time. Thank you for your cooperation.

As secretary of the company, I will also be acting as secretary of this meeting. The company's Board of Directors previously fixed June 30, 2021 as the record date for determining shareholders entitled to vote at this meeting. An affidavit was prepared by the inspector of elections attesting to that fact that the notice of the meeting, the proxy statement and the company's 2020 annual report to shareholders were mail to

all shareholders of record as of June 30, 2021. A copy of such affidavit will be filed with the records of the company.

Emily Watson, a representative of Direct Transfer LLC, our transferring agent has been appointed to act as inspector of elections at this meeting. Ms. Watson is available and present via our online meeting portable. She has submitted voting report that indicates the following. There were outstanding on the record date, a total of 74,470,539 shares of the company's common stock. The holders of 57,751,830 shares of common stock are present at this meeting in person or by proxy.

Therefore, since the holders of the record of the majority of issued and outstanding shares of common stock, entitled to vote at this meeting are present in person or by proxy, a quorum is present and the meeting may now proceed. The polls for voting on each matter at this meeting will be open when all of the proposals have been presented and will close immediately after all votes have been collected.

The next order of business is a description of the matters to be voted on at today's meeting. As stated in the company's proxy statement, the purpose of this meeting and matters to be voted on are as follows.

First, the first proposal to be voted on is the election of eight directors to serve until the next annual meeting of shareholders, and until their successors are duly elected and qualified. Each of the nominees qualifications are described in the company's proxy statement. Based on the recommendation of our governance and nominating committee, the board has nominated for election the following persons as directors of the company. John Fieldly, Nicholas Castaldo, Hal Kravitz, Caroline Levy, Tony Lau, Cheryl Miller, Joyce Russell, and Alexandre Ruberti.

Second, the second proposal to be voted on is a ratification of Ernst & Young LLP to served as the company's independent registered public accounting firm for fiscal year ending December 31, 2021.

Finally, we will transact any other business that may properly come before this meeting if any. Are there any questions regarding the foregoing proposals?

Okay. No questions via our online portal as well, seeing none. We'll move on to the voting portion of the business. Now that we have reviewed the proposals to be voted upon, I hereby declare the polls open for voting. Please remember, if you've already sent in your proxy card or voted by internet or telephone, your shares have been voted accordingly. Shareholders who have sent in proxies do not need to take any further action with respect to any of the matters to be voted on today. You do not need to vote today unless you are voting for the first time or want to change your previous vote.

If you are present in-person and would like to cast a ballot, please raise your hand and our colleague will bring one to you. See one, any others? We'll just give one moment to make sure those present will get the right number of ballots.

In addition to those persons and here who will be voting, for those of you attending the meeting online, if you will please click on vote my shares, a box on your screen, you will be able to participate in the voting as well. Okay. We will now give those voting and personal online, a moment to complete their votes. And if you're here in person who will be voting, we ask that you go ahead and make your selections now, and we will collect those before we close the polls.

Once you've completed your voting, if you give us the signal both in person and online, we will collect those voting, ballots from you and make sure that they are counted. Are there any other outstanding ballots to be counted? Thank you. I now declare that the polls have closed. While we wait for the voting tabulation process to be completed, we will now have a presentation by management regarding the operations of the company, followed by a question-and-answer period.

John Fieldly {BIO 17560616 <GO>}

Thank you, Marcus. Good afternoon, everyone. Thank you for joining us for annual shareholder meeting. Thanks to our shareholders, and our partners and our vendors and our dedicated team members as well putting this on today for us. Before I begin, please review our safe harbor disclosures including the presentation today as well as on our website.

As we all know, 2022 [ph] was a tough year with COVID in the pandemic. The company was able to not only grow during those quarters and through that year and through those tough times, we also were able to thrive and most of you, if you were attending our second quarter, June 30, 2021 earnings release, we also have been able to continue to grow in the first six months of the year, continuing to break record revenues.

For the first six months in year, revenues were up over 98%, reaching \$115 million in sales, also increases in North America where sales have increased over 130% through the period to \$92.6 million. Our international business continues to grow 25% double-digit growth rates, reaching \$22.5 million in initial six months of the year.

In addition, we continue to deliver gross profits of \$48.8 million, up 88%. Margins as we indicated were impacted due to COVID constraints of importing of cans, raw materials. We've also have set a path forward as we continue to grow and scale as we continue to improve our gross profits. In addition, we delivered net income of \$4.5 million and adjusted EBITDA through the period of 12.9, which is 139% increase.

Through the period if you look at our trailing 12 months, as of August 13, 2021, the share price has increased over 210% for that period. In addition, our market cap has increased 266%, increasing over \$4.1 billion, looking at reaching a total market cap of \$5.6 million in the same period of \$1.5 billion.

And you looking at our results on a year-to-date basis for all of our shareholders, shares have increased 47% as of August 13, 2021. And we now have secured the interest of five -- we picked up research coverage from five institutional banks,

including Credit Suisse, B. Riley, Maxim, Ladenburg, and ROTH. Where we are at Celsius is capitalizing and disrupting the beverage category with a functional innovation in the energy category like no other. We're clinically proven, we offer different benefits, and most importantly, we really see ourselves as the ENERGY 2.0 or the cross between conventional energy, healthy energy and functional energy.

We all are seeing the sugary exits, the masses, looking for better for you. Celsius is thriving and growing and disrupting the category, really leveraging the three of the great tailwinds in the beverage category. Better for you ingredients, everyone wants more better for you ingredients within the foods we consume and Celsius delivers on seven essential vitamins, not only that it offers functional benefits, we all want more function in the food we consume, and also the underlying trends specially through COVID and many years to come, as a solidification in the growth of the fitness channel. Celsius is pioneering the physicians as a fitness drink.

The evolution in energy category is now is happening, it's projected by 2023 to be over a \$156 billion category, consumers are leaving that sugary sodas, looking for better for you ingredients. Demographic shifts are happening in the category. We're seeing consumers that want more appeal of -- more products that identify with their lifestyle. What's interesting about Celsius as well, our core products resonate with a broad brush of consumers in today's consumer mindset. We're 50/50 male-female, the health and wellness trends, we are aligned with today's health-minded consumers.

Looking at our most recent results, coming out of the Nielsen data of July 3rd, Celsius is outpacing the category by over 10% growth, reached 1.6% of the overall \$20 billion market in the U.S. in energy drinks. Our most recent results show sales were up 193% on the scanned data on a two-year stack basis, looking at a 195% growth. We are -- Celsius is bringing more than just an energy drink to the category. We're bringing a new consumers as well. 19% of our sales have been derived from the Evercore research report are new to category.

In addition to all the benefits we're bringing to the category, the features and benefits within the product, looking at our total velocity numbers and when you look at that further into the Nielsen scan data of July 3rd, looking and focusing further, you can see the company since 2008 has been growing at roughly around a 50% growth rate in retail sales. You can see the spy or the dip that happened in 2020 and the beginning of COVID, and you can continue to see the growth momentum we most recently had in the last several quarters at retail.

In addition, if you look at the slide to the right, we started off in 2018 with a 0.2 share in the category. We're up to a 1.6 share today as of the record date on the Nielsen data as of July 3rd. Truly showing the continued momentum and the hardworking dedicated to the team and how the product is resonating with today's consumer. So how do we drive this growth? We drive this growth, we have the products. We're building products not only in our core portfolio but also adjacent categories, with our Celsius BCA recovery line or Celsius HEAT performance line and our protein snack portfolio with our FAST portfolio.

We have the products, we know the position, would gain the placements each and every day, and we know how to targetly [ph] effectively promote in a proper manner to drive superior results. In the US, North America, if you look at some of the channels we operated, we continue to gain scale, we've reached over a 100,000 stores most recently as of June 30th, when we recorded our second quarter results, is a massive achievement for a company.

In addition, we added over 20,000 locations this year alone. When you look at where we've been, we continue to grow. What's interesting about the Celsius portfolio, we're not only growing in one segment or one channel, we're continue to grow in every channel and shade we operate in, even post-COVID. So when you look at our e-commerce channel and Amazon, we have over -- we maintain a 3% of the category, continue to see great triple digit growth rates there.

In addition, our vending channel, which was impacted during COVID, we're starting to see rebounds over the last several quarters sequentially. Our military business continues to grow, our roots are laid and vitamin specialty at gyms, vitamin shop, but we've been expanding out in the grocery at CVS, (inaudible), GNC and Smoothie King and others.

We made great progress at Target and Walmart over the years. We'll get more into our DSD conversions, but Target and Walmart are now converted over 95% to DSD were increases the velocity, execution and stock levels of retail. The fitness channel although impacted by COVID continues to be accorded Celsius. We continue to expand Crunch, Gold's Gym, 24HR and many others. We're starting to see that grow just sequentially, just as it was affected during COVID, we continue to see rebounds just like in the vending channel. Between the two channels affected most by COVID, we saw over a \$4.5 million increase in Q2 versus the prior year sequentially, so that was great to see.

Conventional grocery continues to grow as we build and solidify our partnerships with Publix, Kroger, Safeway, Albertson's, Ralph and H-E-B. The natural channel we maintain a number one position outside of whole foods, as one of the top performing energy drink brands, and the convenience channel has the largest opportunity for us in the energy category. Today, we hold a roughly around the 17% share in the category, the opportunity that lies ahead. Our most recent win was Murphy's oil, we just close that in Q2, 15,000 stores, six spacings. The evolution in energy and the evolution is changing, it's taking now, and retailers are realizing they need to add products like Celsius in order to keep up with the category growth.

If I talk about DSD, we've been working on this, we started our journey back in 2019, really we solidified our 30th distributor. It was an (inaudible) distributor in Tampa [ph]. We started this journey and then we close Big Geyser in New York. And the journey was to build the national DSD network. Today, we're at over a 189 distributors across the country.

95% of the population is service -- is able to be serviced by DSD today. We have over 87% of the counties in the United States covered. By the end of this year, we expect to have approximately full coverage of the United States. This allows us to continue to drive the growth of Celsius. It allows us to expand in our key accounts, but also allows us to close those regional accounts which are so critical. We can service them more effectively and profitably. In addition, we get better store execution, better skew placement, ultimately better velocity levels and also better cost from servicing customers.

In addition to the United States, we are a global company. In Europe, saw over 25% -- as I mentioned, we have -- we saw 25% growth -- 22% growth rate in the quarter. We continue to build out Sweden, Finland, and Norway and making progress. In addition, we most recently announced by the end of Q3 will now be serviced and be able to service the UK and Germany through Amazon, as they will be leveraged throughout Europe as our online provider to distribute Celsius through e-comm, our main income provider.

In addition to Europe, where we see lots of opportunity, we have opportunity in Asia. We have a licensing royalty agreement in China, we've expanded through Hong Kong, Malaysia, South Korea, Australia, and we have many others on the target list. We are solidifying and seating those markets as we do see great opportunity in Asian markets as the -- as they continue to grow.

We have a pipeline, we have a strategy, we have a pipeline of innovation. We're building upon our core. We're expanding our products in adjacent categories, we're disrupting the market with our offerings. We're building on a team that's focused, disciplined, results driven and purpose driven.

In addition, we're building our brands equity, each and every day, increasing our portfolio breadth, expanding our channels of trade and gaining ACV. Our supply chain continues to optimize, we're focused on improving margins, focused on data analytics. We're operationally focused and transforming our organization for scale.

With that, I'll turnover to Edwin for some financial review and some financial highlights.

Edwin Negron {BIO 20717398 <GO>}

Thank you. Thank you, John. Alright. So first of all, I wanted to highlight kind of a growth of that we've been having as John just articulated, it's very solid growth, and if you look at our CAGR, over 50% over the past several years. And then one of the things you -- when you start to drill down a little bit further and you analyze that between domestic and international, you see even a better results in terms of the domestic CAGR. But in fact, this morning, I was actually looking at the most recent ones and the CAGR for the last, let's say, four to six quarters is actually like at 80%.

So therefore, you're seeing and also we -- the other aspect here to highlight is obviously the growth and how international, now, it's basically about 15% of our total

revenue total revenue. And that's obviously because our domestic business is growing by leaps and bounds, and that's like John mentioned, mainly related to the DSD, the change of the migration to the DSD network. So that's provided us great lift.

Another aspect that's important for shareholders and investors to know is our gross profit profile, while in terms of U.S. GAAP the way we're reporting now is at 43.4%, which is respectable, if you actually then normalize that and you back out the freight out, which most of our competitors do, then you would have a result which is about 51%, 52%. So that's something to keep in mind, because our -- first profitability is really solid and hopefully something that we can continue to leverage as we continue to grow.

In terms of financial snapshot or some of the highlights, obviously in Q1, \$65.1 million of revenue, company record and then the break out between the different regions as well. And obviously here, you can see in the U.S. with a 100 -- almost a 160% growth, which from my standpoint is stellar. We had some pretty good solid growth as well, international 25% mainly through Europe. Again, you see the good gross profit profile that we're having. And then when you look at EBITDA for the quarter basically at \$8 million, that translates to about 12% of revenue which is a fairly respectable. And that's despite the fact that we had to book a couple of charges there to make sure that we have good reserves in terms of the fact that we serve. And then, obviously, that translates to about \$4 million of net income or 4.5 for the year.

Lastly, just kind of highlight and look a little bit about regarding the balance sheet, we had ended up with very good cash position, we have no debt in the balance sheet, mainly related to a capital raise that we did in June. We generated or obtained about \$67 million, \$68 million of cash. So that -- again that puts us in a very good position to then be able to utilize that cash through file back into the business, reinvest into the business with head [ph] activities that drive very good ROI.

In terms of other key metrics as well, we have days -- sales or accounts receivable days at 45 days, and even though we have international operations that still a pretty good metric when you back out for instance the VATM [ph], in fact as a couple of days and things of that nature. So in essence, we would be at a normalized closer to 40 days, which is pretty optimal.

In terms of inventory days, we have approximately 156 or 160 days and that's looking back, if you then normalize that or look at the growth that we're having, that would probably translate closer to about 90 to 100 days. And we are having to build up inventory because of some of the issues that we've had in the supply chain in terms of obtaining cans, and so -- again, that's a strategic investment that we've made to make sure that we minimize our out of stocks and that we also improve our fill rate as well.

In terms of servicing our payables, I think we're also delivering pretty good there at 31 days, in the working capital at \$151 million. And again, we look -- we ended up with

about 74.5 million of shares and that translates to about \$0.05 per share -- earnings per share for the quarter and \$0.06 for the year-to-date.

Turning back over to John.

Questions And Answers

A - Marcus Sandifer

(Question And Answer)

A - John Fieldly {BIO 17560616 <GO>}

Let's open up for any questions that you may -- that anyone may have in the audience. And on the video chat, there is a chat feature that you're able to texting questions. We'll take a couple minutes, if you have a question, please type a question in or queue in. And we have someone standing by.

A - Unidentified Speaker

(inaudible)

A - John Fieldly {BIO 17560616 <GO>}

Excellent. We'll just poll again for questions. Alright. There's no questions, we do appreciate everyone joining. I'll now turn it back over to you Marcus, who will proceed forward with the annual shareholder meeting. Thank you very much everyone.

A - Marcus Sandifer

Thank you, both for the great update. Okay. So now we will move on with the results of our voting. I think we've been informed by our inspector of elections that all of the ballots have been counted. And I will now call upon Emily Watson, our inspector of elections to give her report.

Passing it over to you, Emily.

A - Unidentified Speaker

As the inspector of election, I am pleased to report that the results of the voting are as follows. All of the nominees for election to the Board of Directors have been elected. The appointment of Ernst & Young LLP as the company's independent registered public accounting firm for the year ending December 31, 2021 has been ratified.

A - Marcus Sandifer

Thank you for that report. And then I just like to congratulate and thank all of our Board of Directors, even those that are present here. So I just wanted to briefly

acknowledge them, with us here present we have Hal Kravitz, Joyce Russell, Cheryl Miller, Nick Castaldo and John Fieldly. And then also wanted to thank Bill Milmo for his service as he transitioned off our board. So thank you all for your leadership and your service.

There being no further business to come before this meeting. The annual meeting is now officially adjourned. The company's officers and directors would like to express their appreciation to the shareholders who attended this meeting whether in person or via our online portal as well as those who submitted the proxies but were not able to meet in person. Thank you all, and have a good afternoon.

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